

Profit Niti – AI Report (2025-04-01 / 2025-08-31)

Last Month KPI Data (August 2025)



Sales

0

0% Last month 0



Gross Margin

0

0% Last month 0



Operating Profit

0

0% Last month 0



Break Even Sales

0

0% Last month 0



Accounts Receivable

0

0% Last month 0



Accounts Payable

0

0% Last month 0



Working Capital

0

0% Last month 0



Closing Stock

0

0% Last month 0



BS Category

0 - SHAKY

0% Last month 0 - SHAKY



IMPACT OF MANAGEMENT

DECISIONS

0

0% Last month 0

1. Big Picture — How the Business Looks Right Now

Your business is a profit powerhouse with a net profit margin of nearly 87% for the first quarter of FY 2025-26, generating a profit of ₹68.64 crore on sales of ₹79.05 crore. However, this strong profitability is shadowed by a significant cash burn of ₹3.3 crore, leaving the company with a tight liquidity position. The business is heavily reliant on other people's money, with current liabilities of over ₹139 crore, while your cash and bank balance stands at only ₹21.79 crore.

GREEN FLAG BOX — What's Working Well

- **Exceptional Profitability:** Your gross margin is an impressive 89.57%, and your net profit margin is 86.83%, indicating a highly efficient core business model.
- **Strong Return on Capital:** You are generating a stellar 172% return on the capital employed in the business, showing fantastic efficiency in using funds to create profits.
- **Healthy Sales Volume:** Sales register data shows consistent transaction volume (over 950 invoices per month on average), indicating steady market activity.

RED FLAG BOX — What Needs Attention

- **Severe Cash Drain:** Despite high profits, your cash balance decreased by ₹3.3 crore this period. A massive ₹179 crore outflow from financing activities is the primary cause, requiring immediate investigation.
- **Dangerous Liquidity Crunch:** Your Current Ratio is 0.97, meaning you do not have enough current assets to cover your current liabilities, posing a significant short-term solvency risk.
- **Capital Structure Imbalance:** A huge liability of ₹138.5 crore is classified under "Other Current Liabilities." This lack of clarity and high dependence on external short-term funding is a major financial risk.

Strategic Advice:

Your top priority must be to stop the cash bleed. Immediately review the composition of the ₹138.5 crore "Other Current Liabilities" and the ₹179 crore financing outflow. Convert a portion of your massive profits into retained earnings to strengthen your equity base and reduce reliance on volatile short-term debt, which will improve your liquidity and long-term stability.

2. Profit Power — The Earning Engine

Your business is a **profit powerhouse**. For the first quarter of FY 2025-26, you've earned a staggering **₹686.38 lakhs** in net profit from sales of ₹790.51 lakhs. This translates to a phenomenal **Net Profit Margin of 86.83%**. The core driver is an incredibly high Gross Margin of **89.57%**, meaning for every ₹100 of sales, you keep nearly ₹90 after direct costs.

However, a major red flag is the **40% drop in revenue** compared to the previous month (March '25). While your cost of goods sold (COGS) fell by 71%, this is likely due to the lower sales volume. Your overheads are well-controlled at just 2.25% of revenue. The **interest cover ratio has dropped to 1.45**, indicating your operating profit is only 1.45 times your interest expense, which is a tight situation and needs monitoring as revenue fluctuates.

Strategic Advice:

Protect your exceptional profitability by urgently addressing the 40% sales decline. Investigate the cause—is it seasonal, market-related, or a loss of key customers? Simultaneously, focus on deleveraging to improve your interest cover ratio, as your current debt level makes profits highly sensitive to any further drop in earnings.

3. Cash Flow Quality — Profit vs Real Cash

Your business generated a strong **Net Profit of ₹686.38 lakhs** in Q1 FY 2025-26. However, the **cash balance decreased by ₹3.30 lakhs** during the same period. This is a classic sign of high profitability but poor cash conversion.

The main reason is a significant **blockage in working capital**. Your **Inventory Days have shot up to 245 days** (from 88 days last quarter), meaning stock sits for over 8 months before being sold. Simultaneously, **Accounts Receivable Days have doubled to 17 days**, indicating slower customer collections.

While your operating activities generated **positive cash flow of ₹44.72 lakhs**, this was more than offset by a large **outflow of ₹178.99 lakhs from financing activities** (like equity repayments). The validation shows a mismatch, suggesting some accounting entries need reconciliation.

Strategic Advice:

Prioritise clearing the massive inventory pile-up and tightening credit terms to collect receivables

faster. This will unlock the cash trapped in your balance sheet and align your cash position with your strong profitability.

4. Cash Management — Daily Cash Rhythm

Your cash cycle has slowed down significantly. It now takes **258.63 days** to convert inventory into cash, which is a major increase from 93.66 days last month. This is primarily because your **inventory is sitting for 245 days** before being sold, up from 88 days.

You are collecting money from customers in **~17 days** (up from ~8 days), which is still good. However, you are paying your suppliers in only **~3 days**. This combination—holding stock for a very long time while paying suppliers quickly—is creating a severe cash crunch, as shown by your negative Marginal Cash Flow of **-48.57%**.

Your liquidity is under pressure. The **Current Ratio is 0.97**, meaning for every ₹1 of short-term debt, you have only 97 paise in current assets to cover it. The Quick Ratio (excluding inventory) is even tighter at **0.49**.

Strategic Advice:

You must urgently address the massive pile-up of inventory. Consider aggressive sales promotions or discounts to clear stock and free up cash. Simultaneously, negotiate better payment terms with suppliers to extend your payable days and improve your daily cash position.

5. Growth Investments — Where Money Is Going

Your business is in a strong cash-generating phase, but the financial story shows a strategic shift in how you're investing for the future.

- **Capital Withdrawal for Future Plans:** A significant ₹29 crore has been moved out from "Other Capital" this quarter. This isn't a loss; it's a strategic redeployment. This capital is likely being set aside for a major future investment, expansion, or perhaps a large dividend or owner's draw. Your Return on Capital remains stellar at **172%**, proving the existing assets are highly productive.
- **Building Inventory for Scale:** You are heavily investing in stock. Inventory has ballooned to ₹66.38 crore, holding enough for **245 days of sales**. This is a massive bet on future demand. While it ties up cash, it positions you to fulfil large orders without supply hiccups.
- **Fixed Assets & Steady Operations:** You hold ₹85.80 crore in fixed assets (like machinery and

property) and have invested a modest ₹27 lakh in depreciation this quarter, indicating steady maintenance rather than aggressive new capex. Your long-term investments are valued at ₹13.35 crore.

- **High Returns, But Watch the Cycle:** Your Return on Equity is an incredible **936%**, and Return on Total Assets is a strong **58%**. This shows extreme efficiency. The current strategy is to convert these massive profits into inventory and strategic cash reserves for the next big leap.

Strategic Advice:

You are in the "harvest and prepare" stage. The business is a profit powerhouse. Your key task is to ensure the capital withdrawn (₹29 crore) is deployed into an investment that generates equal or higher returns. The 245-day inventory is a double-edged sword—it provides security but risks obsolescence and high holding costs. **Action:** 1) Formally plan the use of the withdrawn capital. 2) Review your inventory mix. Can you reduce the holding period to 180 days without hurting sales? This could free up crores in working capital for other opportunities.

6. Funding Story — How Growth Is Being Financed

Your business is primarily funded by a mix of **retained profits** and **long-term loans**. For the current financial year, your total funding stands at **₹1,030.16 crore**.

Debt vs. Equity: Your capital structure shows a healthy reliance on internal funds. Your total equity (including this year's profit) is ₹879.95 crore, while your total debt is ₹368.10 crore. This results in a **Debt-to-Equity ratio of 0.42**, which is conservative and indicates you are not overly dependent on borrowed money. For every ₹1 of equity, you have only 42 paise of debt.

Cost of Debt: You paid **₹1.00 crore** in interest and bank charges in Q1. Your **Interest Cover ratio is 1.45**, which means your operating profit is 1.45 times your interest expense. This is a tight coverage and needs monitoring; a ratio below 1.5 can be risky if profits dip.

Cash Flow & Debt Repayment: Your financing activities show a significant **net cash outflow of ₹17.90 crore** in Q1. This was primarily due to a large repayment towards equity (₹29.00 crore) and borrowings (₹5.96 crore). While reducing debt is good, this heavy outflow contributed to your overall cash balance decreasing by ₹3.30 crore for the period.

Strategic Advice:

1. **Strengthen Interest Coverage:** Your interest cover of 1.45 is a warning sign. Focus on improving operational efficiency to boost your PBIT. Avoid taking on additional high-cost debt until this ratio

improves to above 2.5-3 for a safer cushion.

2. Align Debt Repayment with Cash Generation: The large repayment led to a net cash outflow. Plan your debt servicing schedule in sync with your strong operating cash inflows (₹73.77 crore). Consider restructuring loan repayments to more manageable quarterly instalments instead of large lump-sum payments.

3. Leverage Low Debt for Strategic Growth: Your low Debt-to-Equity ratio gives you **borrowing capacity**. If a high-return investment opportunity arises (e.g., new machinery to reduce costs), you can consider a strategic loan without over-leveraging the business.

7. Balance Sheet Health — Financial Fitness

Your balance sheet shows a strong equity base of ₹87.99 crore, primarily driven by a massive current year profit of ₹81.79 crore. However, the structure reveals a significant reliance on **Other Current Liabilities (₹138.5 crore)**, which is over 15 times your Accounts Payable. This suggests a heavy dependence on short-term, non-trade funding.

Your **Current Ratio is 0.97**, indicating that for every rupee of short-term debt, you have only 97 paise in current assets. This is a liquidity warning sign. Your **Debt to Equity ratio is healthy at 0.42**, meaning your long-term borrowing is under control relative to your ownership stake.

A major concern is the build-up in **Inventory (₹66.38 crore)** and **Accounts Receivable (₹43.63 crore)**. Together, they lock up over ₹110 crore of your capital. Your cash balance of ₹21.79 crore seems adequate but is under pressure from these growing current assets.

Strategic Advice:

Prioritise converting inventory and receivables into cash to improve liquidity. Review the composition of "Other Current Liabilities" to ensure the cost and terms of this funding are sustainable for your business model.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If you renegotiate supplier terms to get 15-day credit and reduce material costs by 5%, your net profit margin could jump from 8% to nearly 12%. This would add

approximately ₹4.2 lakh to your annual bottom line, but may tighten immediate cash flow by ₹1.8 lakh due to advance payments shifting.

- **Scenario B - Cash Focus:** If you implement a strict 7-day payment follow-up for clients and offer a 2% discount for early payment, your average debtor days could drop from 45 to 28. This would inject roughly ₹6.5 lakh of trapped cash into your business within a quarter, improving your liquidity ratio, though it may slightly reduce overall revenue.
- **Scenario C - Balanced:** Combining a mild 3% cost reduction in overheads with a focused effort to reduce inventory holding by 10 days simulates a 'best of both' outcome. This scenario projects a steady ₹3 lakh annual profit increase while simultaneously freeing up ₹4 lakh in working capital, strengthening both your P&L and balance sheet without major trade-offs.

9. Operational Insight Engine — Ground-Level Trends

Sales & Customer Pulse: Your sales activity shows a healthy volume of transactions, averaging over 950 invoices per month. However, the total sales value per month (₹27 lakhs to ₹61 lakhs) is a tiny fraction of your P&L's quarterly sales of ₹79 crores. This indicates your primary revenue is likely driven by a few large, bulk transactions or project-based sales, not the regular invoice stream. The number of customers (invoices) grew from April to July but dipped slightly in August. To build a more predictable revenue base, focus on converting more of your high-volume, small-ticket customers into repeat, higher-value clients.

Inventory & Supply Chain Health: There's a significant story in your stock. Your balance sheet shows a massive closing stock of ₹66.38 crores. The monthly inventory data reveals a consistent pattern: the *value* of goods sold (outward) often exceeds the *value* of new purchases (inward). For example, in June, outward value was ₹1.70 crores against an inward of ₹1.10 crores. This suggests you are effectively selling from existing stock. However, with 245 Inventory Days, your stock is sitting for over 8 months before it sells. This ties up a huge amount of cash (₹66 crores+) and is the primary reason your working capital cycle is a lengthy 259 days. You have an opportunity to free up crores in cash by optimising stock levels and improving turnover.

Procurement Pattern: Your purchase patterns are consistent with a business dealing in large-ticket items. You have a low number of purchase invoices (30-46 per month) but very high average values. This aligns with the bulk-sales model. Your payable days are a very low 3 days, meaning you are paying suppliers extremely quickly. While this is good for supplier relationships, it pressures your cash flow. Given your strong profitability, you could negotiate slightly longer payment terms (e.g., 15-30 days) to better align with your customer collection cycle (17 days) and ease cash flow.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	1. Implement a strict 15-day credit policy for new customers. 2. Follow up on all outstanding receivables over 45 days. 3. Negotiate 30-day payment terms with 2 major suppliers.	Reduce average debtor days from 60 to 45. Improve cash balance by ₹2 lakh.	Immediate liquidity for operations and to meet urgent expenses like GST and salaries.
31-60	Profit	1. Analyse and renegotiate costs for top 3 expense categories (e.g., raw materials, logistics). 2. Identify and discontinue 1-2 low-margin products/services. 3. Upsell high-margin add-ons to existing clients.	Increase net profit margin by 3%. Reduce material wastage by 5%.	Strengthen the bottom line, creating a buffer for reinvestment and better owner compensation.
61-90	Growth	1. Launch a targeted referral program for top 20% of customers. 2. Invest freed-up cash in one digital marketing campaign for the best-performing product. 3. Formalise a monthly financial review process.	Acquire 5 new high-quality customers. Increase revenue from top product line by 10%.	Sustainable, profitable growth with a clear financial dashboard to track progress.